

HORIZON NATIONAL BANK

Home Loan Policy 2026

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1. Purpose and Scope

This policy governs the sourcing, appraisal, sanction, disbursement and servicing of housing loans extended by Horizon National Bank to resident individual applicants. It applies to all branches, direct selling agents, connectors and digital origination channels without exception.

The policy covers loans for purchase of a ready or under-construction residential property, construction on an owned plot, extension or improvement of an existing dwelling, and balance transfer of an existing housing loan from another lender.

Any deviation from the criteria stated in this policy requires written approval from the Credit Committee, must be supported by documented compensating factors, and must be recorded in the loan file with the name and designation of the approving authority.

This policy shall be reviewed annually by the Retail Credit Department and placed before the Board Credit Committee for approval.

2. Applicant Eligibility

The applicant must satisfy all of the following conditions:

- The applicant must be a resident Indian citizen.
- The minimum age at the time of application is 21 years.
- The maximum age at loan maturity is 65 years for salaried applicants and 70 years for self-employed applicants.
- The applicant must hold a valid PAN and a completed KYC record as defined in the KYC Policy 2026.
- A co-applicant is mandatory where the property is jointly owned.

Up to three co-applicants may be added. Income of a co-applicant may be clubbed only where the co-applicant is a spouse, parent, child or sibling residing in the same household.

Applicants who are existing borrowers of the bank with any account classified as Special Mention Account 2 or worse are not eligible until the account is regularised and remains standard for six consecutive months.

3. Employment Eligibility

The applicant must have at least 3 years of total employment history. Total employment history is computed as the aggregate of all verifiable salaried or self-employed work experience, irrespective of the number of employers.

In addition to the 3 year total employment requirement, salaried applicants must have completed a minimum of 6 months of continuous service with the current employer.

Self-employed applicants must demonstrate 3 years of continuous business vintage supported by audited financial statements or income tax returns for the last 3 assessment years.

Applicants who do not meet the minimum employment requirement are not eligible under this policy. Such applications must be declined at the appraisal stage and may not be escalated for deviation approval.

Employment shall be verified independently through at least two of the following: employer confirmation on letterhead, salary credit entries in the bank statement, Employees' Provident Fund contribution history, or Form 16.

A gap in employment exceeding 6 months within the preceding 3 years must be explained in writing by the applicant and assessed by the credit officer.

4. Income Criteria

- Minimum net monthly income for salaried applicants: INR 50,000.
- Minimum net annual income for self-employed applicants: INR 7,50,000.
- The Fixed Obligation to Income Ratio (FOIR), inclusive of the proposed EMI, must not exceed 50 percent of net monthly income.
- Variable pay, incentives and bonuses may be considered at 50 percent of the average of the last 24 months.

Net monthly income means gross salary less statutory deductions, professional tax and existing loan instalments recovered at source. Reimbursements, leave travel allowance and one-time payments are excluded.

Rental income may be considered at 70 percent of the amount evidenced by a registered lease agreement and reflected in the applicant's bank statement for at least six months.

Agricultural income shall be considered only where supported by land records and a certificate from the revenue authority.

5. Loan Amount and Tenure

- Minimum loan amount: INR 5,00,000.
- Maximum loan amount: INR 10,00,00,000.
- Maximum tenure: 30 years, subject to the maximum age at maturity in Clause 2.
- Loan to Value ratio must not exceed 90 percent for loans up to INR 30,00,000, 80 percent for loans above INR 30,00,000 and up to INR 75,00,000, and 75 percent for loans above INR 75,00,000.

Property value for the purpose of Loan to Value computation is the lower of the agreement value and the valuation assessed by a panel valuer. Stamp duty and registration charges are excluded from property value.

Where the property is under construction, disbursement shall be staggered in line with construction progress certified by the panel architect.

6. Required Documents

The following documents are required for a home loan application:

- Identity proof (PAN card mandatory, along with Aadhaar, passport, voter ID or driving licence).
- Address proof (Aadhaar, passport, utility bill not older than 3 months, or registered rent agreement).
- Income proof (latest 3 months salary slips for salaried applicants; income tax returns for the last 3 assessment years for self-employed applicants).
- Bank statements for the preceding 6 months of the primary salary or business account.
- Employment proof (appointment letter, employment certificate, or Form 16 for the last 2 financial years).
- Property documents (sale agreement, approved building plan, title deed chain, encumbrance certificate and latest property tax receipt).

Applications with incomplete documentation must not be logged into the sanctioning system.

Photocopies must be verified against originals by the receiving official, who shall record the verification on each copy with signature and date.

7. Credit Assessment

A minimum credit bureau score of 700 is required. Applicants scoring between 650 and 699 may be considered only with a co-applicant meeting the full income criteria.

Any write-off, settlement or account classified as a Non-Performing Asset in the applicant's bureau report within the preceding 36 months renders the application ineligible.

Credit bureau reports must be pulled from at least one licensed credit information company and must not be older than 30 days at the date of sanction.

More than three enquiries for unsecured credit in the preceding 90 days shall be treated as a negative indicator and must be explained in the appraisal note.

8. Interest Rate and Charges

- Interest is linked to the external benchmark repo rate plus a spread determined by the applicant's bureau score and loan to value ratio.
- Processing fee: 0.50 percent of the sanctioned amount, subject to a maximum of INR 25,000 plus applicable taxes.
- No prepayment charges apply to floating rate loans availed by individual borrowers.
- Legal and technical verification charges are levied at actuals and disclosed in the sanction letter.

The spread shall be reset only at the intervals disclosed in the loan agreement and shall not be altered unilaterally during the tenure.

9. Sanction Authority and Human Review

No home loan application may be approved or rejected by an automated system. Decisioning engines and AI assistants may produce eligibility recommendations only. The final sanction decision must be recorded by an authorised credit officer.

Sanction authority limits: Branch Manager up to INR 50,00,000; Regional Credit Head up to INR 3,00,00,000; Credit Committee above INR 3,00,00,000.

The credit officer recording the decision must not be the same person who sourced the application.

Every recommendation produced by an automated tool must be retained in the loan file alongside the officer's decision, so that the basis of any divergence is auditable.

10. Turnaround Time

- Acknowledgement of application: 1 working day.
- Credit decision after receipt of complete documents: 7 working days.
- Disbursement after execution of loan agreement: 3 working days.

Where a decision cannot be given within the stated time, the applicant must be informed of the reason and the revised expected date.

11. Property and Legal Due Diligence

Every property must undergo legal scrutiny by an empanelled advocate and technical valuation by an empanelled valuer. Both reports must be dated within 90 days of disbursement.

Properties in areas notified as prohibited, encroached, or subject to litigation are not eligible for finance.

The title search must cover a minimum period of 30 years or the full chain of title, whichever is shorter.

12. Insurance

Property insurance covering fire and allied perils for the full reconstruction value is mandatory for the entire loan tenure, with the bank recorded as loss payee.

Credit life insurance is optional. It must not be bundled as a condition of sanction, and the applicant's written consent must be obtained separately.

13. Monitoring and Default

End use of funds must be verified within 90 days of final disbursement.

An account is classified as Special Mention Account when the instalment remains overdue between 31 and 90 days, and as Non-Performing when overdue beyond 90 days.

Recovery action shall follow the Collection and Recovery Policy 2026. Coercive practices are prohibited without exception.

End of Home Loan Policy 2026. This document supersedes all prior versions. Queries to Retail Credit Department.